

Company Choice: Adidas AG

Adidas was chosen as it is a leading global sportswear brand and DAX40 constituent, providing a clear case study in retail finance. The dataset from most recent years (2022–2023) captures key business cycles after pandemic disruption and recent restructuring.

Challenges include inventory valuation in a seasonal industry, currency effects from global operations, and a lack of direct competitor data for benchmarking. Insights are expected into Adidas's working capital efficiency, post-pandemic profitability recovery, and financial resilience during strategic transformation, illustrating how a major brand adapts to economic and operational challenges.

Method & Ratios

To assess the company's financial health across multiple dimensions including liquidity, profitability, solvency and activity, a set of key financial ratios were calculated. These ratios enable meaningful comparison over time periods and across industry peers, offering a clearer view than raw financial statement data. The ratios and formulas used were:

Liquidity Ratios

The **current ratio** and **quick ratio** were used to evaluate Adidas's ability to meet short-term obligations, with the quick ratio offering a more conservative measure by excluding inventory.

Profitability Ratios

The Net Profit Margin and Return on Assets (ROA) were calculated to assess cost control, pricing power, and the efficiency with which assets generate returns.

Solvency Ratios

The Equity Ratio and Interest Coverage Ratio were used to evaluate financial leverage and the company's ability to service debt.

Activity Ratios

Total Asset Turnover and **Inventory Turnover** were calculated to measure asset utilization and inventory management efficiency, which are particularly important in the retail sector.

GROUP 3, TASK 1

Challenge: One key challenge involved deciding how to calculate Average Total Assets. Tableau provides the field *[TotAssets avg]*, but I was uncertain whether to rely on this or instead manually compute an average using Tableau's AVG () function as this choice affect the comparability of ratio across years. The ambiguity made it unclear which value better reflected the true average of total assets over time, which in turn affects ratios such as ROA and Total Asset Turnover. Apart from this, the naming of fields required careful attention to ensure the correct variables were used in each ratio.

Interpretation of Adidas AG Results

Activity Ratio

- **Total assets turnover** increased from 1.06 to 1.12, indicating that Adidas is using its assets more efficiently to generate sales. This is a positive sign of improving operational efficiency.
- **Inventory turnover** decreased from 2.38 to 2.14, meaning inventory is selling more slowly. This suggests inventory which may result from weaker consumer demand, overproduction, or slower sell-through in retail channels.

Overall, Adidas shows improving asset utilization but still faces issues in inventory management, consistent with a company in a recovery phase rather than strong growth.

Profitability Ratio

- **Net profit margin** fell drastically from 1.13% to -0.28%, moving from a positive level in 2022 to negative in 2023, indicating that Adidas incurred losses relative to its sales. This suggests that revenue levels were insufficient to cover rising costs.
- **Return on Assets (ROA)** also turned negative (from 1.20% to -0.31%), showing that the company was unable to generate profits from its asset base in 2023. This decline reflects weakened profitability, likely due to higher costs, inventory write-downs, and restructuring expenses.

Overall, the results indicate significant short-term profitability pressure, consistent with a challenging operating environment and a transition period for Adidas.

Liquidity Ratio

- The **current ratio remained above 1**, declining slightly from 1.27 to 1.22, indicating that Adidas can still meet its short-term obligations.
- The **quick ratio improved from 0.62 in 2022 to 0.66 in 2023**, showing stronger immediate liquidity when inventories are excluded.

Overall, Adidas' liquidity position is stable but tight, with some reliance on inventory to cover short-term liabilities.

Solvency Ratio

- **Interest coverage ratio** declined drastically from 6.53 to 2.15, indicating that Adidas' ability to cover interest expenses from operating earnings weakened significantly. This suggests higher financial risk and pressure on debt servicing due to lower profitability.
- **The equity ratio** increased slightly from 0.26 to 0.27, showing a modest strengthening of the equity base.

Overall, solvency remains manageable, with a stable capital structure, but reduced earnings weaken debt-servicing capacity and raise financial risk if profitability does not recover.

Investment Recommendation: Adidas shows strong fundamentals and stable liquidity, but weak current profitability. Financial risk has increased due to lower earnings. Therefore, Adidas may be attractive for long-term investors who expect a recovery in profitability and successful restructuring. However, due to current earnings pressure and financial risk, it is not recommended for short-term or risk-averse investors